Riverbend Apartments

4100 Millrace Pointe Drive, Dayton, OH 45415
Underwriting summary · model run Oct 20, 2026 · report generated Nov 9, 2026

Works at $8.50M: 16.6% against our 16% target. We could pay up to $8.60M ($90K a unit) and still make 16%.

- The asking price is $8.50M ($89K a unit), a 6.16% cap rate on the seller's last 12 months of NOI.
- At that price we would earn 16.6% a year on our equity over a 5-year hold, against our 16% target.
- Our Year-1 NOI is $492K, 6% below the seller's $523K, because we underwrite what a new owner actually pays: replacement reserves of $250 a unit (–$24K); property tax re-set on the purchase price (–$19K); insurance at $1,100 a unit (the seller pays $956) (–$14K); bad debt at 2% of rent (–$13K); one-time takeover costs of $250 a unit (–$10K).

THEIR ASKING PRICE	THE PRICE WE WOULD PAY	TO NEGOTIATE
$8.50M	**$8.60M**	**$97K of room**
$89K a unit	the most that makes 16% · $90K a unit	we could pay 1% more and still make 16%

THEIR ASK	UNITS	T12 NOI
$8.50M	**96**	**$523K**
$88,542 per unit the broker's asking price	93.8% occupied Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab	Year-1 NOI $492K T12: Riverbend Apartments - T12.xl… · T12 Actuals tab

IN-PLACE CAP RATE	LEVERED IRR	OUR BID @ 16% IRR
6.16%	**16.6%**	**$8.60M**
house estimate: T12 NOI ÷ price run derived here, not quoted	meets 16% target model: Debt & Exit, 5-year hold	+$97K (+1%) vs their ask — house estimate the price that makes the target on the model's cash flows

YEAR-2 CASH-ON-CASH	EQUITY MULTIPLE	YEAR-1 DSCR	TOTAL CAPEX	AVG IN-PLACE RENT / MO	HOLD PERIOD
8.6%	**2.02x**	**1.50x**	**$884K**	**$1,090**	**5 years**
model: Pro Forma	model: Debt & Exit	model: Pro Forma	model: Inputs	Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab	model: Inputs

How to make it work

If we could…	IRR at $8.50M	Change	Our bid becomes
Debt 0.5 pt cheaper (5.00% instead of 5.50%) Agency or assumable debt, a rate buy-down, or a better lender quote.	17.3%	+0.7 pts	$8.70M +$107K
Borrow 75% of the price instead of 70% The property yields more than the loan costs, so more debt raises the return.	17.8%	+1.2 pts	n/a
Run it $250/unit a year cheaper Payroll, contracts, utilities billed back, insurance re-bid: savings every year, also worth more at sale.	18.5%	+1.9 pts	$8.90M +$307K
$25/unit a month more other income Utility bill-back (RUBS), parking, storage, pet and admin fees, net of the 3% management fee.	18.8%	+2.2 pts	$8.95M +$355K
Sell at a 5.75% cap instead of 6.00% A quarter-point stronger market at sale. Not in our control - shown so it is not counted on.	18.2%	+1.6 pts	$8.86M +$262K
Cheaper debt, lower costs and more income, together	**21.3%**	**+4.7 pts**	**$9.37M**

Do all three of cheaper debt, lower costs and more income, and it reaches 21.3% at $8.50M — the deal can work at this price if those are real.
house estimate: each line re-runs the model's own cash flows (property tax re-set at each price, as the model does) with that one change. "Our bid" is the price that makes 16%. The sizes are examples to judge against this property, not promises.

Property and deal facts

Item	Value	Source
Address	**4100 Millrace Pointe Drive, Dayton, OH 45415**	OM: Riverbend Apartments - Offeri… · Inputs tab
Year built	**1987**	OM: Riverbend Apartments - Offeri… · Inputs tab
Units	**96**	Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab
Site acres	**7.4 ac**	OM: Riverbend Apartments - Offeri… · Inputs tab
Average unit size	**898 sf**	Rent roll: Riverbend Apartments - Rent R… · Unit Mix tab
Average market rent / mo	**$1,137**	Rent roll: Riverbend Apartments - Rent R… · Unit Mix tab

Returns and capital

Scenario (model's own)	Hold	Sale value	Levered IRR	Equity multiple	vs 16%
Sale Year 3	3 yrs	$11.76M	**18.5%**	1.63x	**meets**
Sale Year 5	5 yrs	$12.48M	**16.6%**	2.02x	**meets**
Sale Year 8	8 yrs	$13.64M	**15.4%**	2.67x	**below**
Refi Yr3 + Sale Yr5	5 yrs	$12.48M	**18.4%**	1.93x	**meets**
Refi Yr3 + Sale Yr8	8 yrs	$13.64M	**18.1%**	2.48x	**meets**
Refi Yr5 + Sale Yr8	8 yrs	$13.64M	**16.9%**	2.53x	**meets**

Capital stack (model: Debt & Exit tab)	Amount		Amount
Purchase price	$8,500,000	Acquisition closing cost	$255,000
Loan amount	$5,950,000	Initial equity required	$3,688,600
Equity before capex	$2,550,000	Gross exit value	$12,481,048
Capex	$883,600	Net sale proceeds	$5,906,995

Deal score: 91 / 100 (A)

Factor	Points	What drove it
Levered IRR vs target	5 / 12	16.6% against a 16% target
How soon the target is hit	8 / 8	a plain sale clears the target at year 3
Our bid vs their price	50 / 50	we could pay 1% more than their ask and still make the target
Year-2 cash-on-cash	4.1 / 5	8.6% in year 2
Equity multiple	3.4 / 5	2.02x
Year-1 DSCR	10 / 10	1.50x
Risk and data confidence	10 / 10	94% occupied, no model checks waiting on an input

house estimate: the score weighs the model's own results against our targets; the factors and thresholds are set on the Underwriting tab.

Rent roll summary

Item	Value	Source
Report as of	**2026-10-15**	Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab
Units (official / parsed)	**96 / 96**	Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab
Occupied (official)	**90 of 96 — 93.8%**	Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab
Monthly market rent	**$109,135**	Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab
Monthly in-place rent	**$98,185**	Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab
Monthly loss-to-lease (model's term)	**$10,950**	market minus in-place, vacant units counted at market; Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab
Annual market-vs-in-place gap	**$131,400**	house estimate: monthly × 12; upside only if vacant units lease
Resident balances owed	**$3,760**	Rent roll: Riverbend Apartments - Rent R… · Rent Roll tab

Unit mix — average rent vs market

Type	Units	Occupied	Avg sf	Avg market	Avg in-place	Loss-to-lease*
A1	36	32	713	$976	$937	$39
B1	30	30	925	$1,153	$1,111	$42
B2	20	18	1,040	$1,246	$1,173	$73
C1	10	10	1,203	$1,451	$1,379	$72

* house estimate: average market rent minus average in-place rent, per unit per month.

T12 summary

Months covered: **Oct 2025 – Sep 2026 (12 months)** · T12: Riverbend Apartments - T12.xl… · T12 Actuals tab

Line	12-month amount	% of EGI*
Gross Potential Rent	$1,305,600	
Less: vacancy, concessions, bad debt	–$166,500	
Net Rental Income	$1,139,100	
Other Income	$91,900	
Effective Gross Income (EGI)	**$1,231,000**	
Repairs & Maintenance	$70,700	5.7%
Turnover Costs	$26,600	2.2%
Labor Costs (Payroll)	$123,000	10.0%
Advertising & Promotions	$15,800	1.3%
General & Administrative	$27,700	2.3%
Controllable Expenses	$263,800	21.4%
Utilities	$121,500	9.9%
Management Fee - actual T12	$43,085	3.5%
Insurance	$91,800	7.5%
Property Taxes - actual T12	$165,400	13.4%
Other Property Expenses	$22,000	1.8%
Total Operating Expenses	**$707,585**	**57.5%**
Net Operating Income (NOI)	**$523,415**	**42.5%**
Actual Vacancy Loss (memo)	–$84,900	
Actual Bad Debt - net (memo)	–$12,400	
Actual Concessions - net (memo)	–$11,800	

* house estimate: the line divided by effective gross income. NOI margin 42.5%.

Pro forma (model)

	Year 1	Year 2	Year 3	Year 5	Year 8
Effective gross income	$1,273,971	$1,472,332	$1,530,149	$1,623,335	$1,773,862

Total operating expenses	$781,907	$799,869	$824,274	$874,472	$955,560
Net operating income	$492,063	$672,464	$705,875	$748,863	$818,303
Debt service	$327,250	$327,250	$327,250	$327,250	$327,250
Net income after debt service	$139,334	$315,767	$348,022	$389,146	$455,575
Cash-on-cash	3.8%	8.6%	9.4%	10.5%	12.4%

model: Pro Forma. Year-1 NOI vs the T12 NOI: –$31,352 (house estimate: the model's Year-1 figure minus the trailing actual).

Assumptions the model used

Assumption	Value	Where it came from
Purchase Cap Rate	**6.20%**	Model input
LTV	**70%**	Model input
Loan Interest Rate	**5.50%**	House benchmark
Hold Period	**5 yrs**	Model assumption
Exit Cap Rate	**6.00%**	House benchmark
Closing Cost	**3.0%**	Model input
Disposition / Closing Cost at Exit	**5.0%**	Model input
Income Growth	**3.0%**	Model input
Expense Growth	**3.0%**	Model input
Tax Growth	**3.0%**	Model assumption
Bad Debt %	**2.0%**	Model input
Management Fee % of EGI	**3.0%**	Model input
Asset Management Fee % of EGI	**2.0%**	Model input
Value-Add Units	**72**	OM / public record
Value-Add Premium / Unit / Month	**$170**	OM / public record
Interior Renovation Cost / Unit	**$8,800**	Placeholder, not confirmed
Common / Exterior Capex	**$250,000**	Model input
Amortization Period	**interest-only**	Model assumption
IRR Target	**16%**	Model assumption
Year 2 Cash-on-Cash Target	**3.0%**	Model input

What we could not read, and how sure we are

How each file was read

Document	File	Read by	Parse notes
Rent roll	Riverbend Apartments - Rent Roll.xlsx	deterministic (openpyxl)	0
T12	Riverbend Apartments - T12.xlsx	deterministic (openpyxl)	0
OM	Riverbend Apartments - Offering Memorandum.…	read by Claude	0

Rent roll: Parsed 96 units; the report says 96.
T12: EGI - OpEx ties to the statement's NOI.

Values a person had to judge

Hold period (yrs, 1-8 — sets the sale year) (edited) · Exit cap rate % (edited)

Model checks that are not OK

OK (OVERRIDE)	Purchase price formula	Purchase price = T12 NOI / cap, or the manual override on Inputs.
HOUSE RULE	Debt quote	70% LTV, 6% interest-only (house rule).
ASSUMED	Capex scope	Interior cost per unit from the OM where it gives one; common/exterior is a template allowance.
WARN	Year 1 total opex within house cap	House ceiling from the 2026-08-10 benchmarks: total operating expenses no more than 50% of effective gross income in Year 1.

Assumptions still placeholders

Interior Renovation Cost / Unit — set from house defaults or a prior model, not from a quote or document.

Figures derived here (house estimates)

In-place cap rate (6.16%) · Gap to max price ($97K) · Annual market-vs-in-place gap ($131,400) · Each expense line's share of EGI · Year-1 NOI change vs T12 (–$31,352)